Daniel Scandian, CEO of Madeira Madeira

Daniel had fully validated his business to significant revenue before going to investors. The result is spectacular! Read on…

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Daniel Scandian: I'm from Rio de Janeiro. I started my career a little bit different from other entrepreneurs. I was 14 years old when I started with Go Carting. My dream was to be a Formula One driver. I won the Formula 3 South America in 2001. That's why I started late because I could get sponsors to go to GP2. I then came back from UK.

Sramana Mitra: To study?

Daniel Scandian: I raced there. I came back to work with my family in Brazil. I finished my degree in Industrial Engineering because my family had an old flooring factory. We had a big problem with the subprime crisis in 2006 to 2007. In that moment, we had to close part of the factory that we used to run. My father said to me that if I wanted to sell a lot of machines to other companies, I would get commission. I created a blog and started advertising on Google. After two years, I sold around $3 million in machines.

Sramana Mitra: Is that by paid search advertising?

Daniel Scandian: Yes, mainly by Google.

Sramana Mitra: Your father must have been thrilled.

Daniel Scandian: Yes. I got a very nice commission from that. Then in the middle of 2009, I started my company. Of course, the money was not enough to buy inventory. I started a business selling specialty flooring through the Internet. I had no experience with technology and retail. What I did was hire an agency that did the technology part and also the marketing side. I had a small team to do the operation – negotiation with suppliers and call centers. I started with around $100,000 in 2009. We bootstrapped until the middle of 2012.

Sramana Mitra: Where did the $100,000 come from?

Daniel Scandian: The commission that I got from the machine sale.

Sramana Mitra: So you incorporated a new company to do the e-commerce using this $100,000 that you saved from your commission?

Daniel Scandian: Yes, exactly.

Sramana Mitra: You owned this fully 100%?

Daniel Scandian: Yes. We hired agencies to do the marketing and technology.

Sramana Mitra: What did you decide to focus your e-commerce business on? Is it the same kind of machine that you were selling?

Daniel Scandian: I started selling flooring through the family company. I started to sell wood flooring, laminate flooring, and vinyl flooring. Because we had no money to take inventory, I had to invest 100% of the money in marketing to start to generate sales and cash.

Sramana Mitra: You were targeting this business to customers in North America or in Latin America?

Daniel Scandian: Only in Brazil.

Sramana Mitra: Was it Google AdWords that helped you recruit the customers? What was working in terms of marketing?

Daniel Scandian: It was 100% Google AdWords in the beginning. I had this agency that had a few years' experience. They did a turnkey project where they got a commission from us. They took care of the technology and marketing investment. Then a year later, we had a problem with credit card fraud. Again, I had to negotiate with my family. I proposed to sell my apartment and put the money in the company. We had a family meeting to decide about that. Everybody agreed to sell the apartment. It will pay 2% interest per month in two years.

Sramana Mitra: That's risky.

Daniel Scandian: Then I created a blog again and advertised on Google. I sold that apartment in 15 days. Then I put the money in the company and went on for a year and a half. We achieved around $4 million in revenue in 2011.

Sramana Mitra: You sold the apartment in 2011?

Daniel Scandian: Yes, I started at the end of 2009. In 2010, I had this problem where I needed more cash for the company. We finished in 2011 with $4.5 million in revenue.

Sramana Mitra: Tell me a few things. This $4.5 million in revenue, was it entirely coming from Google AdWords-based customer acquisition?

Daniel Scandian: Yes, it was 100% through Google.

Sramana Mitra: What was your commercial deal with the suppliers? You were selling flooring. How much commission you could keep and what percentage of the sale was going to the supplier? You were not taking inventory at this point, right?

Daniel Scandian: I was not taking inventory. I was doing drop shipping. I would buy the product after I sold something. It was just-in-time.

Sramana Mitra: Zero inventory e-commerce.

Daniel Scandian: Exactly.

Sramana Mitra: What was the percentage split between the manufacturer and you?

Daniel Scandian: I was charging around 35%. I'd buy at 100 and sell at 135.

Sramana Mitra: The other way to look at it is of the 100% revenue, you were taking 35% and the manufacturer was taking 65%.

Daniel Scandian: Yes, more or less. They send us an invoice. We send our invoice to the customer. The drop-shipping model allows us to send the product from the wholesaler directly to find a consumer. I had no warehouse at that time, and I had no inventory.

Sramana Mitra: I think this model is very well understood in e-commerce. Then what happened in 2012?

Daniel Scandian: We had an opportunity to sell other kinds of products. I decided to expand the categories to windows and doors and other house products. We grew a lot because of that. Then I started to talk to investors. The market in Brazil for home improvement is around $60 billion. No one was exploring that. Of course, they thought I was crazy. At the same time, I talked with some American investors, especially from New York. We did not have technology and marketing teams, so it was hard for me to get investment from the US.

Sramana Mitra: You were almost like a solo entrepreneur with your brother helping you out.

Daniel Scandian: Yes. My brother took care of the company while I looked for investors. Then I had to talk to some investors in Brazil. In 10 months, I had a very nice investor from Brazil and from Argentina. I was also lucky to get help from Boston. Both the CEO and Founder of the two biggest companies that were in home improvement came in. In the middle of 2012, we got $4 million investment.

Sramana Mitra: All these investors were willing to invest at that point even though it was just you, as a solo entrepreneur, with your brother, and you had a significant amount of revenue. That was the draw. You had proved the model.

Daniel Scandian: Yes. What I heard after they invested is that the company was not there on paper. We made a real, big effort to make this happen. Then we realized later that those two companies were doing the same thing with us and they were very big companies. In the beginning, there was no cash required, because we had no inventory. That matched with the same strategy for those two companies in the US. That was the reason they understood that this might be a good investment opportunity. At the same time, we invited Wayfair to advise us and angels to Madeira. At the same time, three venture capitalists invested in the same Series A.

Sramana Mitra: When did you finish raising this round? Was it the beginning or end of 2012?

Daniel Scandian: It was mid-2012.

Sramana Mitra: Now you've raised $4 million in financing? What was the next strategic move?

Daniel Scandian: The first step was to hire a team of executives to help me grow the company. We worked with third parties for technology and marketing. It was a very confusing time for us because we had no experience with investors. We were trying to do everything they said. We did a lot of mistakes because of that. The idea was good, but the moment was wrong.

Even with the money, we had to build with time. We needed time and we needed to learn. We burned a lot of money. I went to US to visit both companies. I asked them how they did it in a scalable way. To sell my amount was not so complicated, but to sell billions of dollars worth of goods is something else. They showed me the software that they built to manage and do drop-shipping. The workflow was very similar.

Daniel Scandian: We realized that that process was the same that should work in Brazil. Of course, the software was a little bit different, but the workflow was quite the same. We were lucky for them to open to us. We went to Brazil and started building a software. The Brazilian market is much more complicated than the US market. We started to build our software in the beginning of 2013.

We thought that we could finish the first phase of the software in a year and a half. It actually took more time. It took us three and a half years to finish building the software. That period of time was very difficult to explain to our investors as to what was going on. We were asking for more money to finish. That was real complicated.

Sramana Mitra: They weren't sure you knew what you were doing.

Daniel Scandian: Yes. We convinced them to make another investment in the company.

Sramana Mitra: What do you think convinced them?

Daniel Scandian: I had to explain to them what we have achieved and the other steps that we needed to finish.

Sramana Mitra: Were you doing the software with an in-house team?

Daniel Scandian: Everything was in-house. We worked 20 hours a day for a year and a half. We had around seven people building it. That was much more complicated than imagined. We also had to convince our suppliers to adopt the drop-shipping model in scale. That was a difficult part as well. I had to visit and talk to the owner of the factory that that's the future.

Sramana Mitra: All this while you continued with the drop-ship zero-inventory model?

Daniel Scandian: Yes. At the same time, we were getting a lot of pressure to build the company to include more products and build the software.

Sramana Mitra: While you were building this software and there were some hiccups, how did the business do? In 2011, you did $4 million. How did you do in 2012 and 2013?

Daniel Scandian: We were growing around 80%. We finished 100% of the software but part of the software was helping us in some situations. Every phase of the software was helping a part of the operations towards becoming better and better. But the whole ecosystem was only finished in the beginning of 2015.

Sramana Mitra: You continued with the 80% year-over-year growth through to 2015?

Daniel Scandian: Yes. The Brazilian economy in 2015 was worse in the beginning, but we grew 109% and in 2016, we grew 113%. It was a good feeling when we started to see the results after January 2015. We broke even in August 2015. Earlier, we were losing a half million dollars per month. We had to get another $8 million investment to cover that before we broke even.

Sramana Mitra: What is the total amount of money that you have raised so far?

Daniel Scandian: $12 million.

Sramana Mitra: Do you need to a raise more money or are you planning to now keep growing organically?

Daniel Scandian: Now, we are breaking even. Last year, we achieved $65 million in revenue and we plan to reach around $150 million in 2017. We are cash flow positive now. Just now, we are building another business plan to talk with some new investors. Now it's more of an option. We don't need the money to grow, but we have some opportunity in Brazil to expand into other categories and also to invest more in technology.

Sramana Mitra: This whole $65 million going to $150 million is an entirely Brazilian market-facing business?

Daniel Scandian: Yes, 100%.

Sramana Mitra: Excellent. It's a great story.

Daniel Scandian: After six years, we feel good about the business and the independence that we can have from investors. We now see it as an option and not a necessity. We are able to negotiate much better.

Sramana Mitra: Late-stage funding for a well-performing business is always easier.

Daniel Scandian: The only situation that is negative right now is the Brazilian economy and the political crisis. Outside investors look at it and see that it's a mess right now. Even when the economy is going down, we are growing more than 100%. We've built something very solid. The result that we got so far is that we are the only company that runs drop-shipping model in Brazil. We have proprietary technology catered for the Brazilian market. We have a four to five year advantage by doing this model.

Daniel Scandian: We have a very good team, but I didn't talk too much about was the team. One of the biggest challenges that I had as an entrepreneur was to get the best team. It's the same team from the start. I brought some executives from big companies, but it didn't work. I had to change a lot of times. The investors were wondering about the changes. Hard work beats talent.

Sramana Mitra: I think I agree with you on that as well.

Daniel Scandian: I'm not a genius – not even close to genius, but I'm very hardworking. I learned a lot of great things over the past six years. It made me strong. My goal is to build a billion-dollar company.

Sramana Mitra: What are your options? Are you going to go public in Brazil? One of the most successful companies in Latin America, Merkato Libre, decided to go public on the New York Stock Exchange. What are your thoughts, and what are the investors' thoughts about what happens to a company like you in terms of exit?

Daniel Scandian: Right now, I really think it's too soon to understand the exit options. We are not thinking about it right now. I think we need another four or five years ahead to start planning. If you have a big company with profitability, you can choose in the future where you want to be.

Sramana Mitra: I completely agree with you.

Daniel Scandian: The priority is to be profitable and grow. If I don't reach profitability, it can be very difficult. The company has to remain profitable. We are 230 people right now. We need to add another 200 people in the next two years.

Sramana Mitra: What happened to the loan that you took from your family? Were you able to pay that off in time?

Daniel Scandian: Yes. We paid instalments. We have no debts right now.

Sramana Mitra: What is your impression of the startup ecosystem in Brazil? How did you benefit from it?

Daniel Scandian: Especially in 2011 and 2012, what happened in Brazil was a lot of business plans were sold by a lot of entrepreneurs from universities. The reality is different. The execution and hard work is much more important. I'm not a good seller to investors, but I work hard. The big difference in Brazil, especially for outside investors, is it's not so simple like in US.

Brazil is different because it's hard to get traction. After you get traction, it's much easier. In the US, it's the opposite. It's easy to get traction but difficult to maintain. The bureaucracy in Brazil is difficult.

Sramana Mitra: The phenomenon that you're describing of people coming with fancy presentations that they learn in universities and wanting to raise money right away is present everywhere. It's a phenomenon that's happening all over the world. The truth is investors are not interested in these kinds of pitches.

Investors are more interested in validated businesses which explains why you have been so successful. By the time you went to investors, you already had revenues and a business model that was validated. Investors prefer to work with entrepreneurs like you who have taken the time to validate and bring business as opposed to just concepts.

Daniel Scandian: Yes. If I become an investor in the future, I'm 100% sure that I want to invest in businesses that have been through two years of bootstrapping and proof. It is much difficult for investors without proof of achievement. There are a lot of smart people who go to Stanford to learn how to pitch to investors. They are very smart. Again, hard work beats talent.

Sramana Mitra: Definitely.

Daniel Scandian: I think this is what is happening in Brazil. Investors lose a lot of money. I hope I can compensate this in the future.

Sramana Mitra: Very good. It was a great story. I enjoyed hearing it. Thank you.